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Paper ID: 25331

GNIOT Institute of Management Studies – PGDM (Batch 2020-22)

(TRIMESTER – V) END TERM EXAMINATION, JANUARY - 2022

WORKING CAPITAL MANAGEMENT

[Time: 2 Hours 30 Minutes] ***[Maximum Marks: 100]***

INSTRUCTIONS:

(i) ***There are THREE sections in this question paper.***
(ii) ***Attempt questions from each section as per the directions.***
(iii) ***Make suitable assumptions wherever necessary***

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following: ***(10×3=30)***

(a) Briefly discuss operating cycle concept of working capital requirement analysis.
(b) Explain the various sources of financing current assets.
(c) Write the mechanics of factoring.
(d) Define Economic order quantity. How it is computed?
(e) Describe different forms of Trade credit.
(f) Define Treasury bills
(g) Explain the need to hold inventories.
(h) Write a note on Credit Standard.
(i) Define safety stock. How do you compute safety stock?
(j) Write a note on Commercial Paper.

(Long Answer Type Questions)

Attempt all questions of the following: ***(4×10=40)***

Q.2. *(a)* "The credit policy of a company is criticised because the bad debt losses have increased considerably and the collection period has also increased.' Discuss under what condition this criticism may not be justified.

OR

(b) Explain the main theories of Trade Credit.

Q.3. *(a)* "The main problem of Inventory Management is the problem of when and how much to produce goods". Explain it and show which techniques can be used in solving both these problems.

OR

(b) What is a selective control of inventory? Explain the pros and cons of various methods.

Q.4. *(a)* State the main motives for holding cash budget and how the cash management system helping in the cash management process?

OR

(b) Briefly explain the factors that determine the cash needs of a firm. Give example to illustrate the short, long and procurement costs.

Q.5. *(a)*How is the re- order point determined? What is the lead time? How does it affect the computation of re-order point under certainty and uncertainty?

OR

*(b)*Explain the meaning of Receivable Management? What are the dimensions of receivable management?

SECTION-C
(Case study / Numerical Question)

Q.6. Attempt all parts of the following: ***(2×15=30)***

Case Questions

6(a) You are analyzing the balance sheet for Ford Motor Company as of December 31, 2020 (in millions):

Assets			**Liabilities**	
Cash	$ 19,927		Accounts Payable	$ 11,635
Receivables	61,469		Debt due within 1 year	36,240
Inventory	10,128		Other Current Liabilities	2,721
Current Assets	91,524		*Current Liabilities*	*50,596*
Fixed Assets	45,586			
			Short term Debt	36,200
			Long Term Debt	37,490
Equity		12,824		
Total Assets $ 137,110			Total Liabilities	$ 137,110

The firm had revenues of $154,951 million in 2020 and cost of goods sold of $ 103,817 million

a. Estimate the net working capital
b. Estimate the noncash working capital
c. Estimate noncash working capital requirement as a percent of revenues. If you were asked to estimate the noncash working capital needs for a new automobile factory that Ford was constructing, would you use this ratio? Why or why not?

6(b) Calculate the amount of working capital requirement for SRCC Ltd. from the following information.

Particulars	**Rs (Per Unit)**
Raw material	160
Direct Labour	60
Overheads	120
Total cost	340
Profit	60
Selling Price	400

Raw materials are held in stock on an average for one month. Materials are in process on an average for a half- a- month. Finished goods are in stock on an average for one month.

Credit allowed by suppliers is one month and credit allowed to debtors is two months. Time lag in payment of wages is 11/2 weeks. (One and half weeks). Time lag in payment of overhead expenses is one month. One fourth of the sales are made on cash basis.

Cash in hand and the bank is expected to be Rs 50,000: and expected level of production amounts to Rs 1,04,000 months units for a year of 52 weeksi.e., 2000 units

You may assume that production is carried on evenly through out the year and a tome period of four weeks is equivalent to a month.